



MARKET MONITOR

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While supply prospects for all four AMIS crops are favourable and markets are expected to remain generally well balanced in 2020/21, the health and economic consequences of COVID-19 coupled with intensifying trade uncertainties jeopardize food market stability. The many forces currently at play render predicting how markets will evolve in the coming months most challenging. Faced with this unprecedented situation, the need for international collaboration to help reassure the orderly flow of food products has never been greater.

Markets at a glance

	From previous forecast	From previous Season
Wheat	▼	▼
Maize	▼	▲
Rice	▼	▲
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

Keeping the long view while addressing the short term

The launch of this year's OECD-FAO Agricultural Outlook took place amidst the global COVID-19 pandemic. The Outlook's favourable medium-term diagnosis of global agricultural markets stood sharply juxtaposed against the unprecedented disruption of global economic activity caused by the coronavirus pandemic and the shutdown measures to contain it. In recognition of the severity of the shock, this year's Outlook report sought to supplement the medium-term projections with a short-term analysis of the impact on global agriculture and food systems.

The report finds that over the next ten years supply growth is going to outpace demand growth, causing real prices of most commodities to remain at or below their current levels. Moreover, productivity growth is going to drive the projected increase in output, easing pressure on land and resource use. An expanding global population remains the main driver of demand growth, although the consumption patterns and projected trends vary across countries in line with their level of income and development.

In addition, the report includes a stylized COVID-19 scenario that assumes a significant macro-economic contraction in 2020 and a mild recovery in 2021. Global food demand weakens due to the widespread loss of disposable income, which far outweighs the disruptions to food supply and thus depresses agricultural commodity prices. These price declines compensate the loss in purchasing power for most consumers, keeping global food consumption almost unchanged; however, food security for vulnerable populations, in particular in least developed countries (LDCs), is going to be at risk. The scenario also points to the uncertainties surrounding the impact of the pandemic on agriculture in the medium term. In particular, medium term impacts on prices will depend on the timing and scale of supply disruptions and the path of economic recovery.

If bottlenecks in processing activity or the availability of intermediate products severely disrupt agricultural supply and it lags behind the overall economic recovery, prices will rise. Alternatively, if agricultural production capacity bounces back from disruptions and the economic slowdown continues, prices will decline.

The events in 2020 present a stark example of the need to balance short-term and long-term policy objectives. But this tension is not new for policy makers, particularly since agricultural markets are inherently volatile. The risk is that – faced with immediate needs – policy makers respond by choosing policies that exacerbate market disruptions, undermining the ability to meet longer term objectives.

This year, AMIS contributed to ensuring that this global health crisis did not become a food crisis through its established mechanisms for enhancing predictability and policy coordination in international food markets. In the future, disruptions to food markets are expected to become more common, for example as a result of climate change, pests and diseases, highlighting the need to invest now in building productive, resilient and sustainable food systems in the face of uncertainties.

OECD-FAO Agricultural Outlook 2020-2029,

OECD Publishing, Paris/FAO, Rome,

<https://doi.org/10.1787/1112c23b-en>

World supply-demand outlook

- **Wheat** production forecast for 2020 points to a slight decline y/y following this month's downward revision for the EU, and to a lesser extent Argentina and the US, more than outweighing improved prospects in Brazil, Canada, the Russian Federation, and Ukraine.
- Utilization in 2020/21 expected to exceed the 2019/20 level, driven largely by increased food use while feed demand is projected down from last year and industrial use to stagnate.
- Trade in 2020/21 (July/June) scaled up amid more robust global import demand and expectation of large export supplies.
- Stocks (ending in 2021) trimmed since July but still rising by 2 percent compared to their opening levels to the second highest level on record; China accounts for most of the anticipated y/y build-up.

Wheat	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
		2 Jul	3 Sep		12 Aug		27 Aug
Prod	761.6	761.5	760.1	764.1	766.0	762.2	763.3
Supply	628.1	627.5	626.1	630.5	630.0	628.7	628.3
Utiliz.	1,033.1	1,036.5	1,036.6	1,048.0	1,066.9	1,023.9	1,042.7
Trade	784.1	775.4	774.9	774.7	779.3	771.7	778.8
Stocks	753.0	754.1	756.1	747.2	750.1	744.5	749.1
	627.5	627.2	628.7	621.2	620.1	615.7	617.1
	181.1	178.7	181.5	190.0	187.7	183.4	181.2
	175.5	174.4	176.8	183.6	180.7	176.6	175.0
	276.6	283.8	282.2	300.9	316.8	279.4	293.6
	148.8	146.3	143.6	149.2	154.1	149.2	155.5

- **Maize*** production in 2020 to reach an all-time high despite this month's downgrading of output in the US.
- Utilization in 2020/21 to expand slightly faster than anticipated previously, supported by firmer demand for feed and industrial use.
- Trade for 2020/21 (July/June) is likely to increase to a new high, amid ample supplies among major exporters and strong import demand, especially in Asia.
- Stocks (ending 2021) cut by 29 million tonnes (7.3 percent), mostly reflecting sharp downward revisions in the US, but still rising for a third consecutive season, reaching a new high.

Maize	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
		2 Jul	3 Sep		12 Aug		27 Aug
Prod	1,138.0	1,208.8	1,182.1	1,112.4	1,171.0	1,120.8	1,166.5
Supply	877.3	947.8	921.1	851.6	911.0	860.0	905.5
Utiliz.	1,498.5	1,567.8	1,544.5	1,432.5	1,502.3	1,445.0	1,466.6
Trade	1,039.5	1,107.5	1,082.7	961.4	995.1	979.7	1,014.2
Stocks	1,131.8	1,169.0	1,173.4	1,121.2	1,164.9	1,144.9	1,178.4
	867.6	898.8	901.2	847.2	887.9	864.1	891.2
	172.9	170.1	173.5	175.6	184.6	171.8	177.0
	167.5	163.1	166.3	168.6	177.6	164.8	170.0
	362.4	395.5	366.4	311.3	317.5	300.1	288.2
	161.7	198.4	169.9	107.2	123.4	108.6	116.0

- **Rice** production in 2020 forecast at an all-time record and unchanged from July, as small upgrades for Colombia, the Philippines and the US, in particular, offset reductions for the Lao PDR and Viet Nam.
- Utilization in 2020/21 upgraded somewhat on higher than previously anticipated non-food uses, namely in China.
- Trade in 2021 trimmed, but still seen expanding by 6 percent y/y, amid expectations that imports in Africa will grow for the first time in four years.
- Stocks (2020/21 carry-out) downgraded albeit to what would still be their third highest on record; China accounts for much of the y/y reduction and downward revision, although stock forecasts were also cut for Egypt, Nigeria and the Philippines, whilst they were raised mostly for Thailand.

Rice	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
		2 Jul	3 Sep		12 Aug		27 Aug
Prod	500.8	509.2	509.2	495.7	500.1	496.8	504.9
Supply	357.3	365.0	365.0	349.0	353.1	349.5	356.9
Utiliz.	685.4	692.6	692.3	672.5	681.7	671.8	681.8
Trade	436.4	445.2	444.7	410.8	418.2	416.6	425.7
Stocks	502.4	510.4	511.0	490.9	496.5	494.9	500.4
	356.6	364.0	364.0	345.8	350.2	349.5	354.2
	44.3	47.6	47.1	42.4	44.3	41.9	44.5
	41.7	45.0	44.6	37.2	39.2	39.5	42.2
	183.1	182.2	181.2	181.7	185.2	176.9	181.4
	79.7	81.4	80.9	65.2	68.7	64.7	69.1

- **Soybean** 2020/21 production scaled up mainly on account of higher forecasts for the US and Brazil, which more than offset marginal reductions elsewhere.
- Utilization in 2020/21 raised slightly, with upward adjustments for China, the EU and the US outweighing a lower forecast for Brazil; globally, total utilization is expected to accelerate faster after subdued expansion in 2019/20.
- Trade in 2020/21 (Oct/Sept) adjusted upwards, with higher import demand by China, the EU and Argentina to be met by increased shipments from Brazil and the US.
- Inventories (2020/21 carry-out) lifted by about 8 percent since July, largely reflecting higher forecasts for the US; global closing stocks now anticipated to rise moderately compared to 2019/20.

Soybeans	FAO-AMIS			USDA		IGC	
	2019/20 est	2020/21 f'cast		2019/20 est	2020/21 f'cast	2019/20 est	2020/21 f'cast
		2 Jul	3 Sep		12 Aug		27 Aug
Prod	340.6	364.3	374.9	337.3	370.4	339.3	373.4
Supply	322.5	345.8	356.3	319.2	352.9	321.2	354.6
Utiliz.	400.9	414.7	425.6	460.2	466.3	401.1	420.7
Trade	371.8	380.6	390.2	412.6	421.5	264.2	275.6
Stocks	357.8	365.5	370.3	351.9	367.9	353.8	368.5
	249.1	254.3	255.6	243.7	251.5	244.8	252.8
	160.7	158.4	163.7	164.6	165.5	162.7	164.3
	64.1	63.3	66.2	64.3	63.5	64.6	65.7
	51.0	49.1	53.0	95.9	95.4	52.2	47.3
	34.2	31.3	35.0	68.6	68.1	19.5	23.0

in million tonnes

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports and world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/view-and-compare>

Estimates and forecasts may differ across sources for many reasons, including different methodologies.

* The 2020/21 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2020 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2021 in their 2020/21 world production numbers.

For more information see Explanatory notes on the last page of this report.

Revisions (FAO-AMIS) to 2020/21 forecasts since the previous report

in thousand tonnes

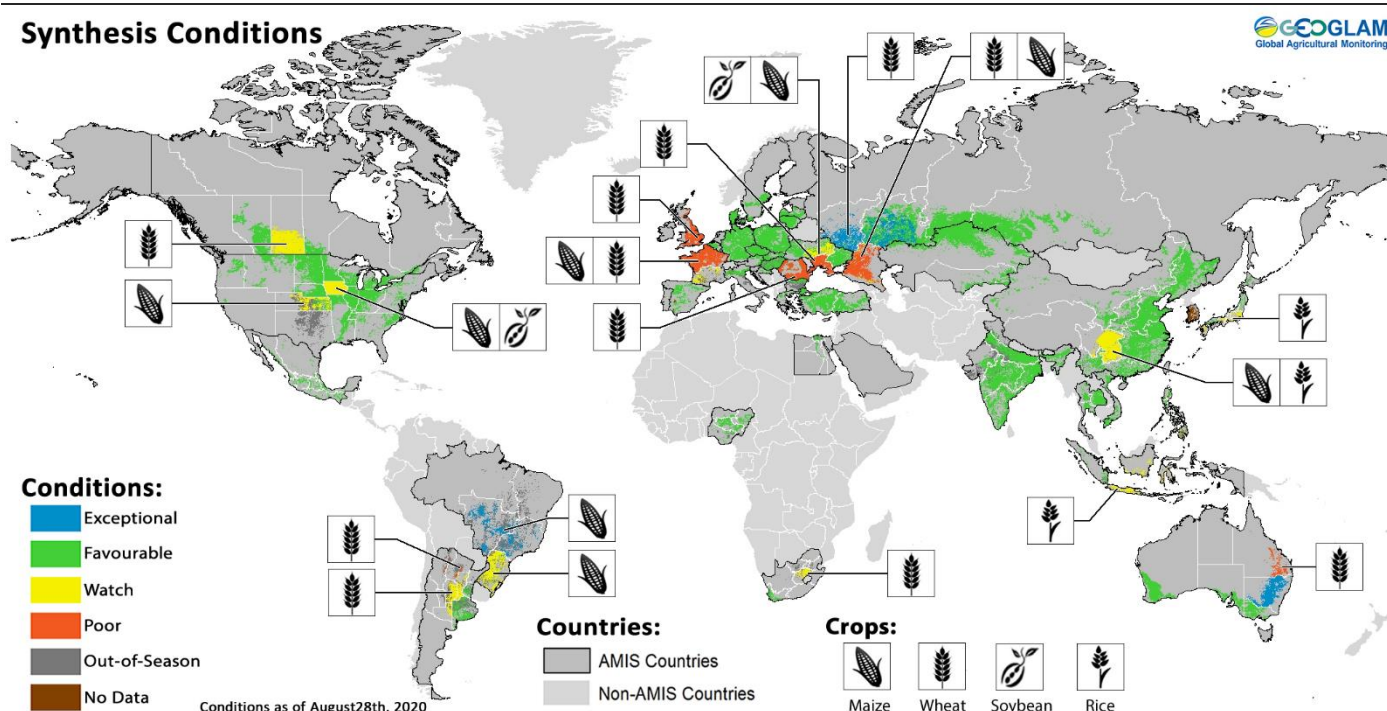
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-1422	2768	1973	2857	-1573	-26676	3408	4494	3448	-29075
Total AMIS	-1270	-320	1404	3150	-3916	-27968	3200	2622	3403	-28249
Argentina	-1300	-	200	300	-1300	3000	-	2500	4000	-2500
Australia	-	-	-	1600	-1000	-	-	-	-	-
Brazil	1142	-300	692	-	-50	1150	-	150	500	-
Canada	1000	-	700	-500	800	-944	200	-644	-	-100
China Mainland	-	500	500	-50	634	-	200	2000	-	-500
Egypt	-	-	200	-	100	-	-	-	-	-
EU	-4000	300	-1200	-500	-2000	-2000	2250	678	-428	-
India	410	-	210	-200	500	500	-	-	-	390
Indonesia	-	-200	-	-	-	-4000	-50	-3800	-	-100
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-600	-	-500	133	-	-	-	-	-
Mexico	-75	-	425	-500	150	300	-	300	-	-
Nigeria	-	-	-	-	-	864	-	864	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	400	800	-	-600
Russian Fed.	2000	-	-	2500	-1112	500	-	500	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	327	-70	7	-	250	-46	-	-46	300	-300
Thailand	-	-	-	-	-	-	500	500	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	1000	-	-	1000	-833	-1000	-	-	-1000	-366
UK	-700	-	-	-	-200	-	-	-	-	-
US	-1074	-	-380	-	13	-26292	-	-949	-	-24073
Viet Nam	-	50	50	-	-	-	-300	-231	31	-100

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	36	-428	611	-439	-973	10439	5274	5006	5353	3784
Total AMIS	6	-210	901	-365	-1053	10539	5092	4895	5343	3809
Argentina	-	-	-	-	-	-	900	-300	500	-200
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	37	-	17	20	-	3500	100	-850	2750	-1800
Canada	-	-	-	-	-	-135	-	-20	-100	85
China Mainland	-0	-	559	-100	-500	120	2400	3520	-	200
Egypt	-	-	240	-	-200	-	400	400	-	-
EU	-3	-	-3	-	-	-291	800	1409	-	-200
India	-	-	-	-	-	100	-	100	-	-
Indonesia	-	-	-	-	-	-	50	-	-	-
Japan	-	-	20	-	-20	5	-164	-109	-	-100
Kazakhstan	5	-	-3	-	-5	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-200	-230	-	-170	-	-	-	-	-
Philippines	114	-	169	-	-330	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-43	-	7	-10	-30	-300	-	-300	-	-
Saudi Arabia	-	-	-	-	-	-	50	50	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	20	-200	200	-	300	300	-	-
Turkey	-	-70	-7	-25	-20	-	-	-	-	-
Ukraine	-1	-	-0	-	-1	-200	-	-196	-7	-20
UK	-	-	-10	-	30	-	200	190	-	10
US	61	60	126	-50	33	7740	2	682	2200	5830
Viet Nam	-163	-	-3	-	-40	-	54	19	-	4

Crop monitor

Crop conditions in AMIS countries (as of 28 August)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 August. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions remain mixed for winter wheat particularly in parts of Europe, Ukraine, and southern Russian Federation as the season draws to a close. Spring wheat conditions are generally favourable. In the southern hemisphere, dryness and frosts are affecting Argentina, while Australia is having a predominantly good season.

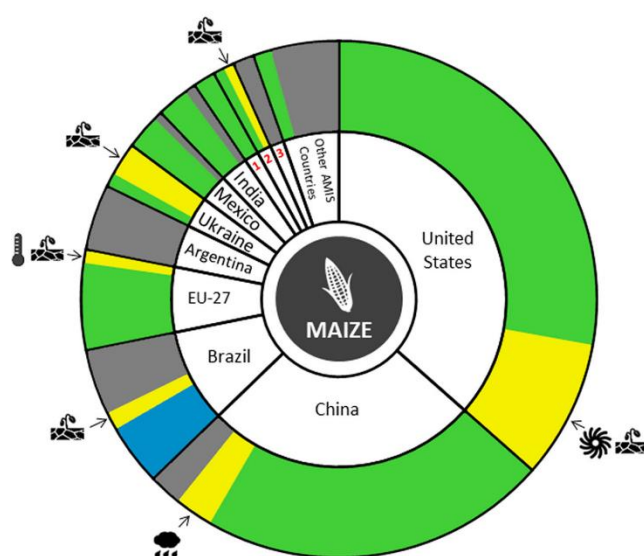
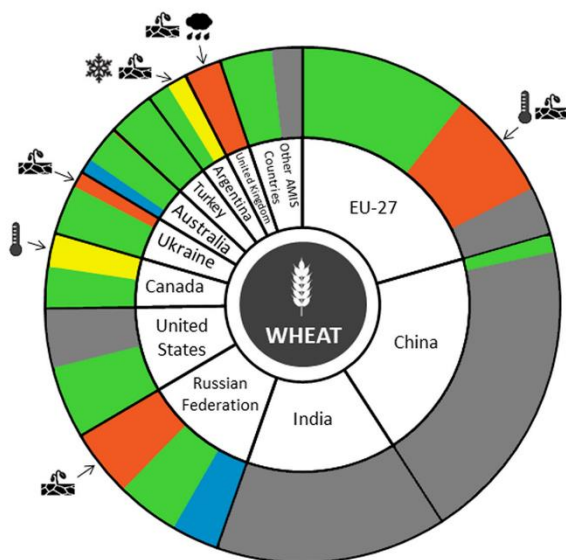
Maize - In Brazil, harvesting is continuing for the summer-planted crop (larger season). In the northern hemisphere, conditions are generally favourable with some areas of concern in the US, France, Ukraine, and the Russian Federation.

Rice - In China, conditions are generally favourable albeit with some additional flooding in the southwest. In India, transplanting of Kharif rice is complete. In Southeast Asia, conditions are favourable for wet-season rice in the northern countries, while in Indonesia, dry-season rice remains delayed due to the protracted finish of the wet-season.

Soybeans - In the northern hemisphere, conditions are generally favourable in the US, Canada, China and India. Areas of concern exist in Iowa state in the US and in central Ukraine.

La Niña likely by the end of the year

The El Niño-Southern Oscillation (ENSO) is currently neutral and is expected to remain so through the northern hemisphere summer. By the end of the year (October – December), however, a transition to La Niña conditions is likely (~60 percent probability). La Niña conditions during October-December typically reduce rainfall in East Africa, Central Southwest Asia, southern Brazil and central Argentina, and increase rainfall in Southern Africa, Australia, and eastern Brazil.

Conditions:**Drivers:**

Canada¹, Russian Federation², South Africa³

Wheat

In the **EU**, harvest is wrapping up under mixed conditions, most notably in northern France and Romania, which are experiencing poor conditions due to hot and dry conditions earlier in the season. In the **UK**, harvesting is wrapping up under poor conditions after a season full of variable weather. In **Ukraine**, harvest of winter wheat is wrapping up under favourable conditions across most of the country except in the south, where dryness earlier in the season dryness resulted in below-average yields. In the **Russian Federation**, harvest is wrapping up for winter wheat with exceptional conditions in the Central and Volga districts while earlier in-season dryness has reduced yields in the southern regions. Spring wheat is under generally favourable conditions with some slightly drier than normal conditions developing. In **China**, harvesting of spring wheat is ongoing under favourable conditions. In the **US**, conditions are favourable as winter wheat harvest wraps up in the northern states and spring wheat harvest begins. In **Canada**, winter wheat harvest is wrapping up under favourable conditions. Spring wheat is under generally favourable conditions, however, some dryness in Saskatchewan is causing premature ripening. In **Argentina**, conditions are mixed with favourable conditions in the provinces of Buenos Aires, Entre Ríos, and some parts of Santa Fe, however persistent dryness and frosts are lowering the prospects in the rest of the country. In **Australia**, conditions are generally favourable except for Queensland which experienced persistent dryness. By contrast, New South Wales is showing exceptional conditions with an expansion of sown area.

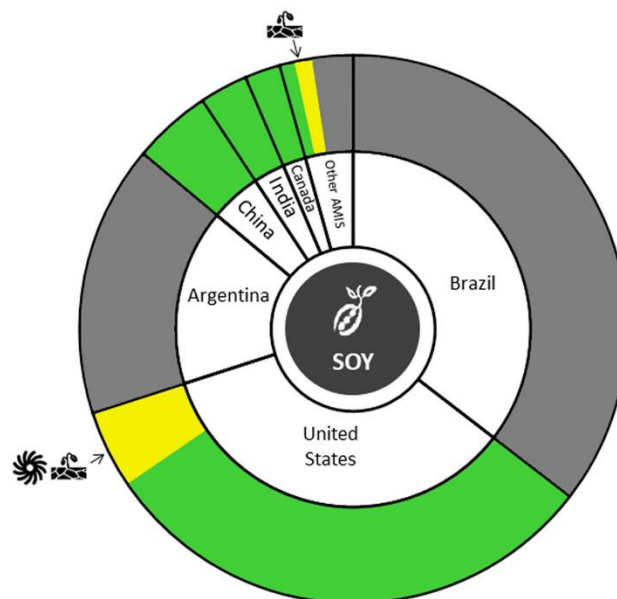
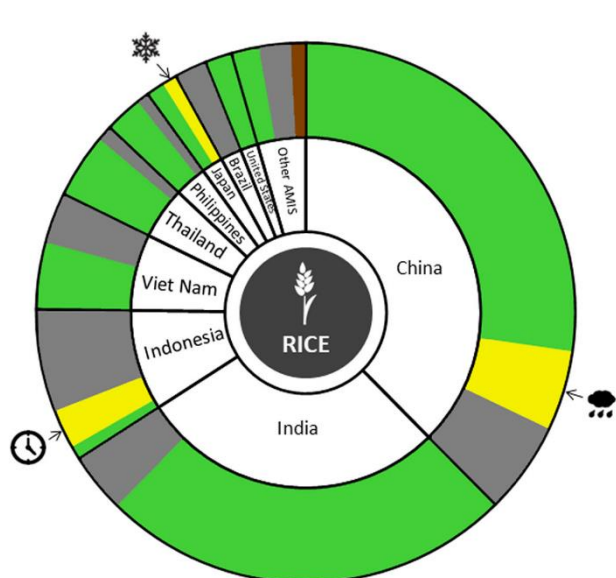
Maize

In **Brazil**, harvest is continuing for the summer-planted crop (larger season) under good conditions in the Central-West and the Southeast regions. In the South region, conditions are mixed due to dryness during key developmental stages, however some late sown crops benefited from rainfall in June, potentially improving the region's overall yields to slightly below-average. In the **US**, conditions are very favourable except for Iowa due to a drought and a recent major Derecho storm. Drought is also present in the western edge of the corn belt in Colorado. In **Canada**, conditions are favourable across the country with rainfall and warm temperatures in the east alleviating earlier spring stresses. In **Mexico**, harvest of the autumn-winter (smaller season) crop is wrapping up while the sowing of the spring-summer (larger season) crop is continuing under favourable conditions. In the **EU**, conditions are generally favourable, however a prolonged hot and dry period is affecting crops in France. In **Ukraine**, conditions are mixed with prolonged dryness leading to soil drought in the central regions. In the **Russian Federation**, conditions are mixed as dryness during the flowering and early grain filling stages affected crops in the south. In **China**, conditions are generally favourable for both the spring-planted and summer-planted crops, except for some areas of flooding in Sichuan and Chongqing. In **India**, sowing of Kharif maize is complete under favourable conditions with total sown area in line with last year.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, conditions are generally favourable for single-season and late-season rice, however continuous heavy rainfall over the summer has slightly reduced yields in the south. More recent heavy rainfall in August has led to further flooding in Sichuan and Chongqing. In **India**, conditions are favourable for Kharif rice with the majority of transplanting completed except in the south. Sown area increased compared to last year. In **Indonesia**, sowing of dry-season rice continues into the fifth month after being delayed due to the protracted wet-season cycle. Harvest of earlier sown dry-season rice is ongoing with lower yields than last year expected. In **Viet Nam**, harvest of wet-season (summer-autumn) rice in the south is ongoing under favourable conditions with slightly lower yields compared to last year due to an in-season drought. In the north, wet-season (summer-autumn) rice is in the sowing to tillering stages under favourable conditions. In **Thailand**, conditions are favourable for wet-season rice in the tillering stage. Tropical storm Sinlaku brought minor flooding to the north and northeast regions but left no significant damage to rice fields. In **the Philippines**, wet-season rice is under favourable conditions with crops sown in April-May undergoing harvest. In **Japan**, conditions are favourable in the north and mixed in the south due to cool weather and a lack of sunshine. In the **US**, conditions are favourable with harvest ongoing in the Mississippi Delta region.

Soybeans

In the **US**, conditions are favourable throughout the country with record yields expected, with the exception of Iowa that experienced drought and a windstorm in early August. In **Canada**, conditions are favourable with recent rainfall and warmer temperatures in Ontario and Quebec continuing to alleviate most of the early spring stresses. There is a reduction in sown area compared to last year. In **China**, conditions are favourable with a slight increase in total sown area compared to last year. In **India**, conditions are favourable with sowing complete and an increase in total sown area compared to the average and last year. In **Ukraine**, conditions are mixed with a lack of substantial rainfall over the central regions leading to the development of dry soil conditions. However, the western, eastern, and northern regions received enough rainfall to maintain favourable conditions.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 3 September 2020

Policy developments

Wheat

- Upon recommendation by the Wheat Industry Association in **Brazil**, on 8 July the Foreign Chamber of Commerce increased the volume of the duty-free wheat import quota for non-MERCOSUR countries from 750 thousand tonnes to 1.2 million tonnes. The import quota will be valid until November 2020.
- On 17 July, **Brazil** notified the WTO of the adoption of maximum residue levels (MRLs) for a range of plant protection chemicals used in wheat (G/SPS/N/BRA/1603/Add.1 and 1604/Add.1).
- On 9 July, **Saudi Arabia** announced the completion of the first phase of privatisation of the state-owned wheat milling sector, opening the way for wheat to be directly purchased from the global market. The final stage of the privatisation of the milling sector was launched 14 July.
- On 18 August, the Ministry of Economy in **Ukraine** set the wheat export cap at 17.5 million tonnes during the 2020/21 (July/June) marketing year. An estimated 20.5 million tonnes of wheat were exported in the 2019/2020 marketing season.
- The **US–Mexico–Canada** Agreement (USMCA) entered into force on 1 July. Giving effect to the USMCA, the Canada Grain Act and Canada Grain Regulations were amended on 24 June to exempt US wheat from country of origin statements on inspection certificates.

Maize

- On 16 July, **Brazil** notified the WTO of the adoption of MRLs for dicamba in maize (G/SPS/N/BRA/1629/Add.1). On 17 August, proposed MRLs were also notified for glyphosate used on genetically modified maize cultures (G/SPS/N/BRA/1698).
- On 23 July, **China** notified the WTO of new quality requirements applicable to maize seeds (G/TBT/N/CHN/1439).
- Owing to **EU's** automatic tariff adjustment mechanism (EU regulation 642/2010), import duties on maize, sorghum and rye in the European Union moved back to duty-free status on 3 July; to EUR 5.48 (USD 6.42) per tonne on 12 August; to EUR 0.26 (USD 0.31) per tonne on 25 August, and back to duty-free as of 26 August. To track fluctuations prior to 3 July, see May–July editions of the Market Monitor.
- On 13 July, as part of efforts to incentivise local production, the Central Bank of **Nigeria** instructed the relevant operating agencies to suspend the issuance of import licenses for maize.

Rice

- On 16 July, **Brazil** notified the WTO of the adoption of MRLs for abamectin (G/SPS/N/BRA/1615/Add.1). New MRLs were also proposed for cyantraniliprole and beta-cyfluthrin in rice (BRA/1728 and 1734; deadline for comments: 12 September).
- On 4 August, **Canada** notified the WTO of proposed new MRLs for the pesticide triflumezopyrim used on rice (G/SPS/N/CAN/1323, comment period up to 12 October).
- On 1 July, **Japan** proposed new pesticide MRLs for heptachlor applicable to rice straw, rice whole crop silage and unprocessed rice (G/SPS/N/JPN/763, comment period up to 30 August).
- On 27 July, the **MERCOSUR** proposed modifying to GMC Resolution No. 12/11 "Mercosur Technical Regulation on Maximum Limits of Inorganic Contaminants in Foods" that seeks to align MRLs for arsenic in rice with existing Codex standards (G/TBT/N/URY/37; comment period up to 25 September). Argentina followed suit on 6 August by notifying the adoption of new MRLs for arsenic (G/SPS/N/ARG/240; deadline for comments: 12 October).
- On 6 August, **the Philippines** notified proposed new MRLs for arsenic on a range of rice varieties, including husked and brown rice (G/SPS/N/PHL/464; comment deadline 5 October).
- On 17 July, **Thailand's** Rice Policy Committee announced that guaranteed prices would remain unchanged for the 2020/21 crop season.
- On 29 July, the **US** notified amendment to MRLs for the herbicide quinclorac used in rice cultivation (G/SPS/N/USA/3190).

Soybeans

- On 4 August, **Brazil** notified proposed MRLs for flupyradifurone in soy cultures (G/SPS/N/BRA/1741), with a comments period running until 26 September.
- On 30 July, **Japan** notified proposed new MRLs for pyrimidifen in soybeans (G/SPS/N/JPN/771). The final date for comments is 28 September.

Biofuels

- On 13 August, amid expectations of short supplies and recovering diesel consumption, the National Petroleum Agency in **Brazil** reduced the volume of biodiesel blended with diesel sold at the pump to 10 percent from 12 percent, for September and October 2020.
- On 4 August, the **European Commission** launched a public consultation on revision of the 2018 Renewable Energy Directive (REDII). An impact assessment will also be conducted to evaluate the extent to which REDII needs to



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

be aligned with the EU's new Green Deal and its 2050 climate neutral objective. Stakeholders have until 21 September to comment.

- On 29 July, at the request of **Indonesia**, the WTO established a panel to review certain measures taken by the EU on palm oil and oil palm crop-based biofuels (DS593), including alleged possible inconsistencies with provisions under the GATT 1994, the Agreement on Subsidies and Countervailing Measures, and the Agreement on Technical Barriers to Trade.

Across the board

- On 17 July **Brazil** adopted new MRLs (G/SPS/N/BRA/1618/Add.1 and 1622/Add.1) used on several crops (e.g., maize, wheat, soy cultures). On 27 July, the proposed adoption of MRLs for several plant protection substances applicable to agricultural products such as wheat and sorghum, was also notified (BRA/1688, 1710, 1723, 1735 and 1740), with a 29 August deadline for comments.
- On 21 July 2020, **China** announced plans to sell rice and wheat from public reserves to feed producers via state firms rather than through auctions. In a first step, around 10 million tonnes of rice would be sold at CNY 1000 (USD 143) per tonne.
- On 22 July, the Ministry of Agriculture and Rural Development and the Ministry of Finance in **China** jointly allocated CNY 330 million (USD 47 million) to a disaster relief fund to assist impacted agricultural sectors in southern provinces. As of 31 July, both ministries have also jointly allocated CNY 11.48 billion (1.7 billion) to farm machinery subsidies to help 1.21 million rural households, prioritizing key staple crops such as rice and wheat as well as the pig sector.
- On 9 July, **China** and the **EU** agreed to the protection of geographical indications for a range of agricultural products, including rice from Zhaoyuan, Wuchang, Ningxia, Panjin, Kiamusze and Helong; rice wine from Shaoxing and Huishui; as well as soybean from Muling.
- In July, owing to the COVID-19 pandemic, the Ministry of Finance in **Egypt** announced the provision of EGP 4 billion (USD 252 million) to the General Authority for Supply Commodities (GASC), the state grains authority, as part of funding to cover (i) the costs for the food subsidy card system, breadmaking and distribution expenses, as well as (ii) the purchase of locally grown wheat.
- In July and August, the **EU** notified the WTO of proposed lowering of MRLs for a range of substances that are applied to several food products, including wheat, rye, barley, oats, sorghum cultures, maize and rice (G/SPS/N/EU/394, 395, 396, 398). New MRLs were also adopted for phytosanitary products applied on wheat, rye, barley, oats, maize and rice (Commission Regulation (EU) 2020/770 and 2020/1085; G/SPS/N/EU/347/Add.1 and 360/Add.1). Regulation (EU) 2020/1191 was issued on 19 August to prevent the introduction and spread of Tomato Brown Rugose Fruit Virus within the EU in wheat, sorghum, oats, maize and rice (G/SPS/N/EU/407).
- In July, the **EU** and the **US** updated the WTO on the COVID-19 recovery packages respectively implemented to assist the agriculture and agri-food sectors as well as vulnerable consumer groups (G/AG/GEN/159/ADD.1 and 161). On 11 August, USDA further announced the extension of the Coronavirus Food Assistance Programme (CFAP) application deadline to 11 September.
- On 30 June, **India** extended the free rations regime (Pradhan Mantri Garib Kalyan Package) until the end of November. The programme had been initially launched in response to COVID-19 on 1 April till 30 June, allowing the free distribution of 5 kg of wheat or rice and 1 kg of legumes to 800 million people. On 1 July, the Cabinet Committee on Economic Affairs increased the minimum support prices (MSPs) of the mandated kharif (fall harvested) crops for 2020/21 (July-June) by 2.1 percent to 7.5 percent over last year.
- On 23 August, the Food Safety and Standards Authority in **India** issued an order requiring traders to declare that imported food crop products, including maize, wheat, rice, soybean, are not genetically modified and are of non-GM origin, beginning on 1 January 2021. While a draft GM regulation is under consideration, the interim order is expected to lead to stricter inspection of imported consignments at Indian ports.
- On 5 July, the **Indonesia-Australia** Comprehensive Economic Partnership Agreement entered into force. All tariffs levied on imports from Indonesia were eliminated. Some 500 000 tonnes of Australian feed grains (wheat, sorghum, and barley) enjoy duty-free access in Indonesia. This volume will be progressively increased over an 11-year implementation period.
- In July and August, **Japan** notified the WTO of proposed amendments to MRLs for plant protection substances applied to a variety of agricultural products including wheat, maize and soybeans (G/SPS/N/JPN/764) as well as new pesticide MRLs used on several food products including wheat, rye, barley, oats, maize, soybean and rice (JPN/767, 770 and 774).
- On 12 August, **Mexico** announced that the use of glyphosate would be gradually phased out in late 2024. The Federal Ministries of Environment and Agriculture and Rural Development are working jointly to establish a phase out schedule.
- On 13 August, the Ministry of Agriculture, Land Reform and Rural Development in **South Africa** extended the validity period of the COVID-19 Disaster Agricultural Support Fund Voucher up to 30 September 2020, as supply chain disruptions continued affecting the availability of agricultural production inputs.

- On 17 August, the **US** approved a Federal Disaster Declaration following the impact of a Derecho storm, which damaged a large part of Iowa's maize and soybean crops as well as infrastructure and storage facilities. USDA assistance will be made available to impacted farmers through various farm programmes. On 24 August, updated Farm Bill 2018 regulations relating to farm subsidy program applicability, eligibility conditions and tighter payment limitations were also published in the US Federal Register.
- On 24 August, the **US** notified the WTO of the adoption of new MRLs for the pesticide ingredient pethoxamid used on maize and soybeans (G/SPS/N/USA/3195).

Logistics and trade Juncture

- On 28 July, grains operator COFCO and Bunge halted production in **Argentina** as a result of increased instances of COVID-19 amongst workers. Soybean deliveries were redirected to other ports and third-party facilities within Argentina.
- On 27 July, **Indian** rice exports suffered disruptions at the port of Kakinada, which handles one fourth of rice exports, due to the impacts of the COVID-19 pandemic, including labour shortage and limited container availability.
- On 7 July, the European Bank for Reconstruction and Development (EBRD) announced a working capital loan worth EUR 7 million (USD 8.3 million) to be invested in the farming and grain storage operations of **Ukraine's** Grain Alliance Group, which have been affected by the COVID-19 pandemic. Grain storage facilities will be expanded, and energy efficiency measures introduced, with technical assistance being provided by the government of Japan.

Stop - press

- On 25 June, as part of a wider initiative aimed to reduce reliance on imports of staple foods, **Indonesia's** Ministry of Agriculture announced plans to develop a farm estate of approximately 164 000 hectares on the Island of Borneo in Central Kalimantan Province to address food security concerns. The first phase is projected to take place between October 2020 and March 2021. The designated farmland will be used to produce national stocks of foodstuffs such as rice and maize. In case of emergency, those stocks will be distributed domestically, and any excess will be exported.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Aug 2020 Average*	M/M	% Change Y/Y
GOI	199	+ 2.4 %	+ 8.0 %
Wheat	184	+ 0.9 %	+ 7.3 %
Maize	180	+ 2.4 %	+ 5.1 %
Rice	187	+ 1.7 %	+ 13.0%
Soybeans	192	+ 3.3 %	+ 8.5%

*Jan 2000=100, derived from daily export quotations

Wheat

Export prices strengthened by 1 percent during August. Some support came from confirmation of disappointing harvests in parts of Europe and concerns about the production outlook in Argentina, where growing conditions stayed less than ideal. However, much of the focus was on improving results in the Russia Federation as combining advanced, with production expectations edging back toward 80 million tonnes, and over. Price sentiment was also contained by generally beneficial weather in Australia, and expectations strengthened for possibly one of the largest crops on record in the country. With increasing confidence that global production would be close to record levels, market participants awaited a clearer picture of demand, with COVID-19 still clouding the outlook and dampening any upward price momentum.

Maize

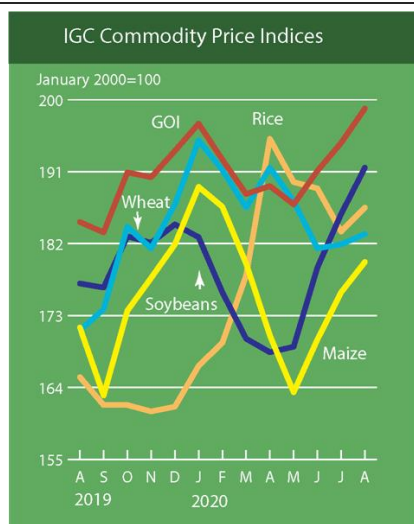
The IGC GOI maize sub-Index rose for a third consecutive month in August, with export prices up by 2 percent. Although average US values weakened slightly on expectations for a bumper crop and heavy 2020/21 supplies, prices have more recently spiked higher on production uncertainties, tied to a dry spell and a severe windstorm in Iowa. The Argentine market was especially strong, buoyed by solid overseas demand and concerns about dry planting conditions. Quotations in Brazil rose on busy port activity, harvest delays and slow producer selling. Mounting worries about damaging weather sparked solid gains in new crop prices in Ukraine.

Rice

Average rice prices increased m/m, led by firmer offers in Thailand where persistent rains delayed off-season crop harvesting, leading to tight nearby availabilities, although gains were pared by weak international demand. Thai prices were also supported by stronger values in Viet Nam, where a fresh outbreak of COVID-19 underpinned an uptick in domestic demand as summer/autumn crop harvesting concluded. Elsewhere, quotations in India were mildly weaker with some pressure from prospects for a bumper 2020/21 kharif crop. The start of new crop harvesting weighed in the US.

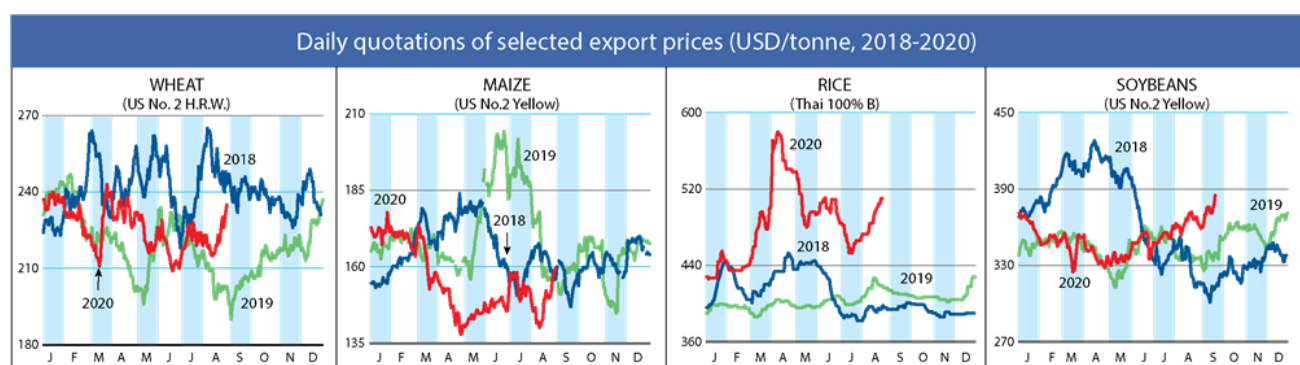
Soybeans

Stemming from advances at all key origins, the IGC-GOI soybeans sub-Index rose by 3 percent m/m. While prospects for a rebound in production weighed, US values recently rose on uncertainty surrounding potential damage from a Derecho storm and the impact of dryness in some areas. Additional support came from heavy new crop purchases by China, highlighted by an exceptionally large cumulative 2020/21 (Sep/Aug) export sales tally, helping to counter pressure from ideas that farmers in Brazil will seed a record area in the coming season. Old crop export quotations in Brazil (Paranagua) were stronger as much tighter availabilities – following a surge in export volumes – underpinned firmer basis levels. In Argentina, Up-River values were nominally firmer, although activity was softer after earlier heavy shipments to China.



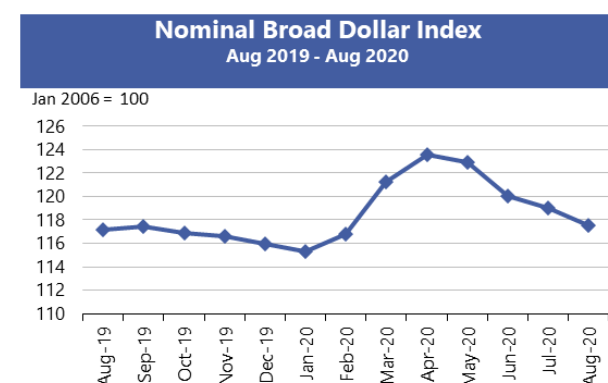
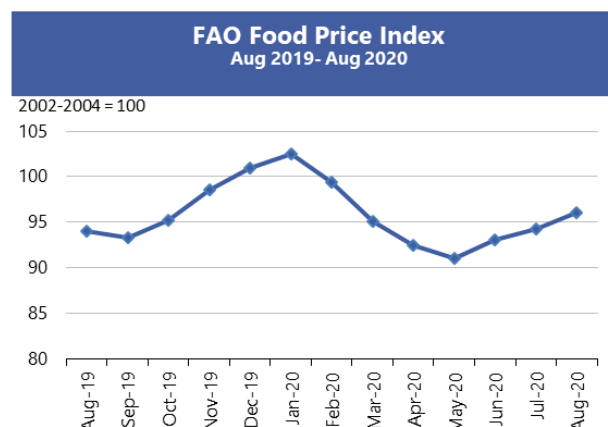
		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100) (.....)						
2019	August	184.7	171.1	171.5	165.3	177.0
	September	183.4	173.8	163.0	161.8	176.5
	October	190.9	184.1	173.6	161.8	182.9
	November	190.3	181.4	177.7	161.0	182.1
	December	193.6	186.9	181.9	161.6	184.4
2020	January	197.0	194.9	189.1	166.7	182.8
	February	192.5	191.2	186.6	169.6	175.9
	March	188.2	186.5	179.5	178.0	170.1
	April	189.2	191.5	170.5	195.1	168.4
	May	186.9	187.3	163.4	189.7	169.1
	June	191.1	181.4	170.0	188.9	179.0
	July	194.6	181.9	175.9	183.5	185.7
	August	199.3	183.5	180.1	186.7	192.0

Selected export prices, currencies and indices



Daily quotations of selected export prices						
	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	27-Aug	235	223	196	5.4%	19.9%
Maize (US No. 2, Yellow)	28-Aug	160	145	156	9.9%	2.5%
Rice (Thai 100% B)	27-Aug	510	473	417	7.8%	22.3%
Soybeans (US No.2, Yellow)	27-Aug	385	368	336	4.6%	14.6%

AMIS Countries' Currencies Against US Dollar				
AMIS Countries	Currency	Aug 2020 Average	Monthly Change	Annual Change
Argentina	ARS	73.2	-2.5%	-39.1%
Australia	AUD	1.4	2.3%	6.0%
Brazil	BRL	5.5	-3.3%	-35.5%
Canada	CAD	1.3	2.0%	0.3%
China	CNY	6.9	1.1%	1.9%
Egypt	EGP	15.9	0.4%	3.9%
EU	EUR	0.8	3.0%	6.0%
India	INR	74.6	0.5%	-4.8%
Indonesia	IDR	14,655.7	-1.3%	-3.0%
Japan	JPY	106.0	0.6%	0.2%
Kazakhstan	KZT	419.5	-1.6%	-8.4%
Rep. Korea	KRW	1,186.2	1.0%	2.0%
Mexico	MXN	22.2	1.0%	-12.6%
Nigeria	NGN	380.7	-1.5%	-24.4%
Philippines	PHP	48.8	1.3%	6.6%
Russian Fed.	RUB	73.7	-3.2%	-12.0%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	17.2	-2.9%	-13.6%
Thailand	THB	31.2	0.7%	-1.5%
Turkey	TRY	7.3	-5.9%	-28.8%
UK	GBP	0.8	3.4%	7.5%
Ukraine	UAH	27.5	-0.5%	-9.0%
Viet Nam	VND	23,173.6	0.0%	0.1%



Source: US Federal Reserve

Futures market (US)

Futures Prices – nearby

	Aug-20 Average	% Change	
		M/M	Y/Y
Wheat	189	-1.8%	8.2%
Maize	128	-2.1%	-13.6%
Rice	264	-12.0%	5.5%
Soybeans	332	1.0%	5.6%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Aug-20	Jul-20	Aug-19
Wheat	29.7	28.1	33.6
Maize	20.0	19.3	31.1
Rice	77.5	98.6	17.7
Soybeans	12.9	10.7	17.4

Futures Prices

Futures prices fell slightly m/m for wheat and maize, while ending nominally higher for soybeans. Rice prices, which had lost about one third of their value since their June peak fell another 12 percent m/m. In its August report, the USDA confirmed large US production levels for maize, soybeans and rice amid slack global demand. A rebound in US domestic demand, following the March slump due to COVID-19 and declines in US crop conditions appeared somewhat price supportive to the grains/oilseed complex, as did hot and dry weather in Brazil, where soybean planting is about to commence. Regarding exogenous markets, the US dollar index reached a two-year low and crude oil prices hovered significantly above March lows, likely underpinning agricultural price levels in the face of record or near record global supplies. Despite the ample supply situation, prices for wheat, soybeans and rice were 8.2, 5.6 and 5.5 percent higher respectively y/y. However, maize prices, weighed by particularly burdensome US supplies, and contrasting sharply with last year's flood impacted crop, were 13.6 percent lower y/y.

Volumes and volatility

Trade volumes for maize and soybeans fell m/m but rose modestly for wheat while volumes for all three commodities were lower y/y. Historical volatility rose slightly m/m but fell y/y for the three commodities while implied volatility declined both m/m and y/y. Both measures indicated subdued price variability. Conversely in rice, historical volatility, which had surged along with prices in June and July in response to an acute shortage of old crop supplies in the US, fell 60 points m/m to a subdued level of 17.

Basis levels and transport

Domestic basis levels declined m/m for maize and soybeans, reflecting the transition into harvest time levels as hot and dry conditions in the Midwest quickened crop maturation. In Illinois, average quotes to local elevators were minus USD 6 per tonne for maize, and minus USD 8 per tonne for soybeans, each under the respective September futures prices. In Iowa, maize and soybean bids

were minus USD 11 and minus USD 16 respectively (under the respective futures). Soft red wheat bids for delivery to northern flour mills were quoted at small discounts to September futures. Maize bids delivered to gulf were about unchanged m/m at USD 20 while soybean quotes were firm at USD 28. Soft red wheat quotes were quoted at around USD 20 (per tonne premiums over respective September futures). Barge freight for the Lower Illinois River rose m/m to USD 21 per tonne, as is typical during the approach to harvest. The USDA reported that total 2019/20 exports for maize and soybeans would decline, ending (31 August) at about 84 and 96 percent, respectively, of previous year totals y/y, even as exports of both commodities saw a sharp increase in July and August to China. Wheat exports for current crop year (beginning 1 June) also trailed previous year.

Forward curves

Forward curves for wheat, maize and soybeans displayed greater steepening of contango (upward slope) m/m as USDA increased domestic crop sizes for maize and soybeans while projecting record global wheat supplies.

Investment flows

Managed money trimmed its small net short for wheat, reduced its net short in maize by half, while increasing its net long for soybeans m/m. Commercials maintained their standard net short positions in wheat and soybeans while reversing their temporary net long to net short in maize as crop yield projections grew.



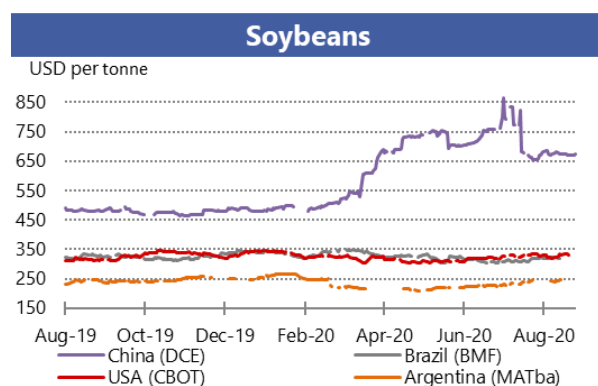
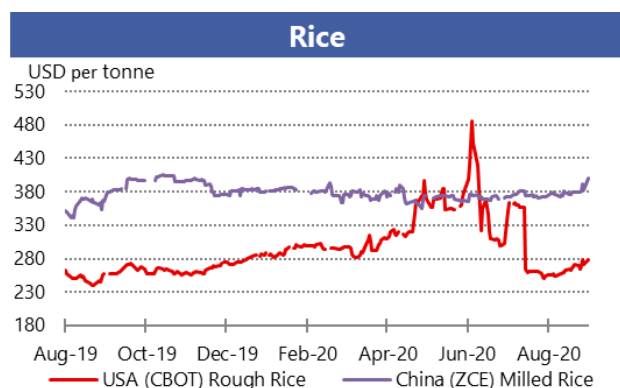
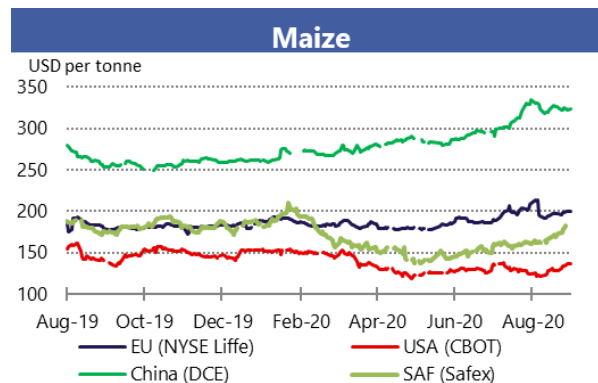
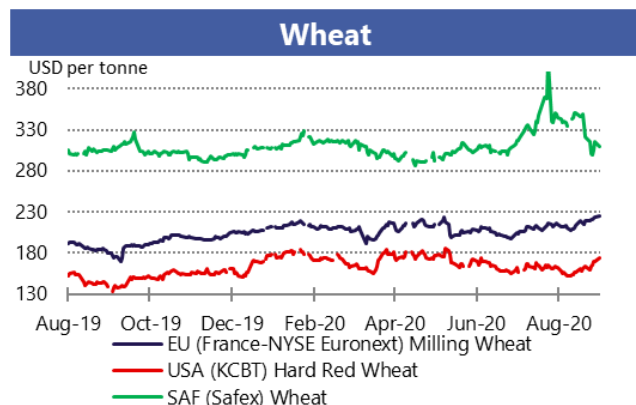
AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

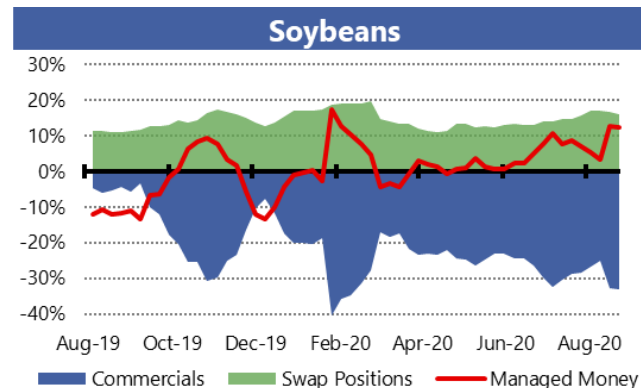
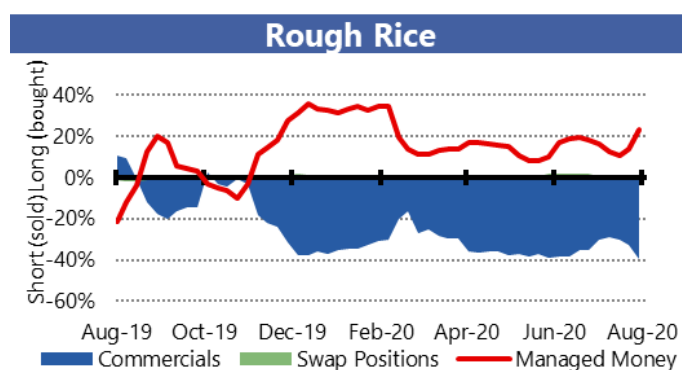
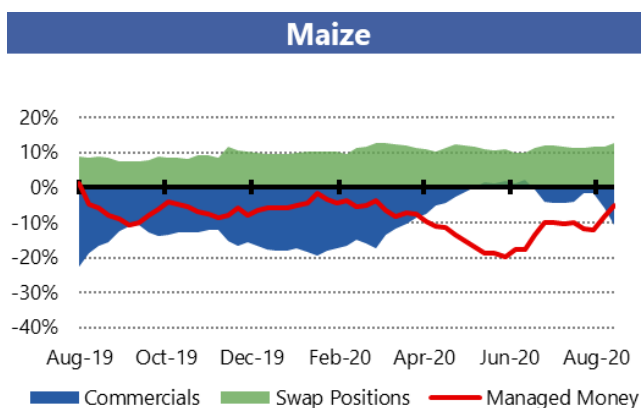
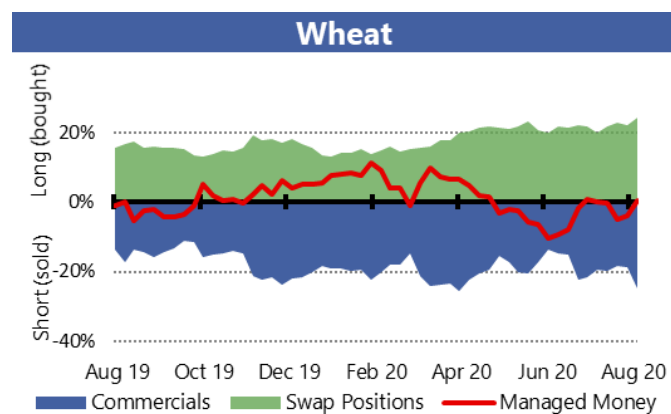
*For more information about Forward Curves see the feature article in [No. 75 February AMIS Market Monitor 2020](#).

Market indicators

Daily quotations from leading exchanges - nearby futures

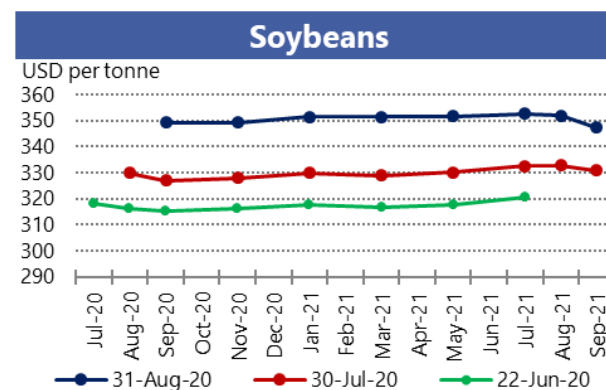
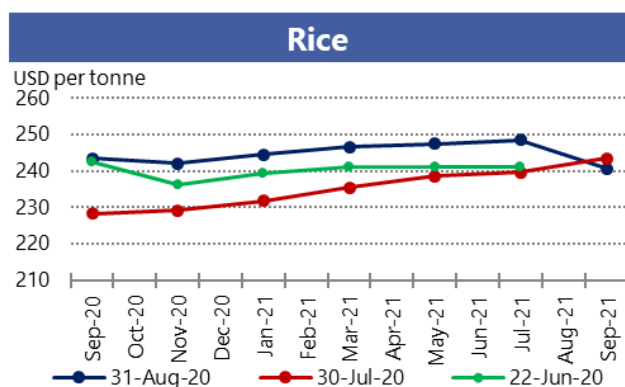
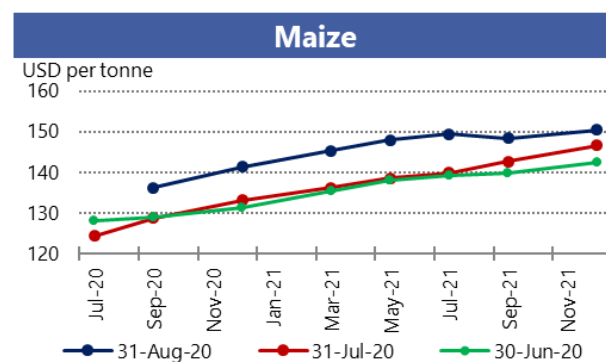
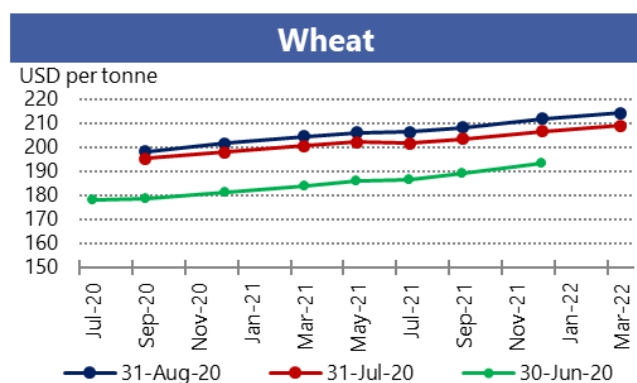


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

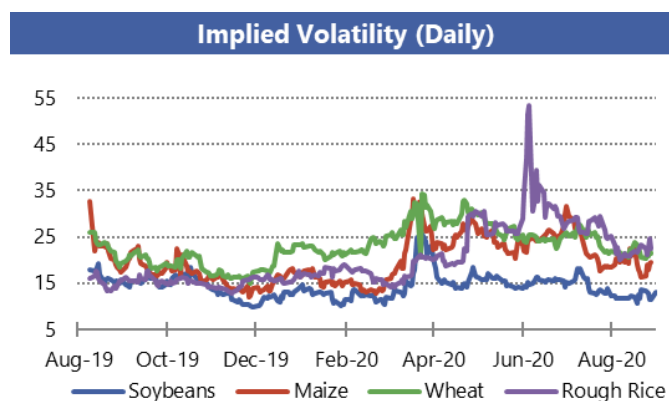
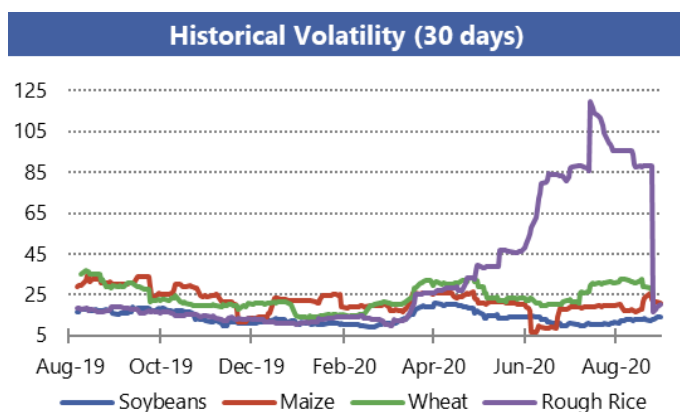


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities

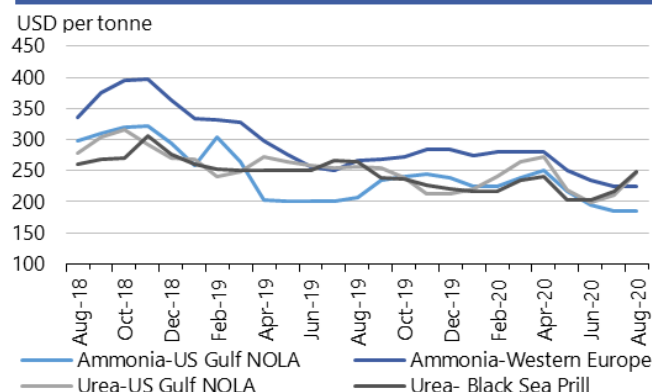


AMIS Market indicators

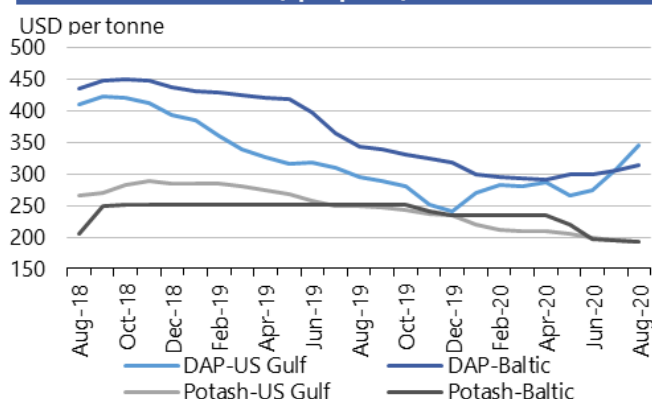
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Fertilizer outlook

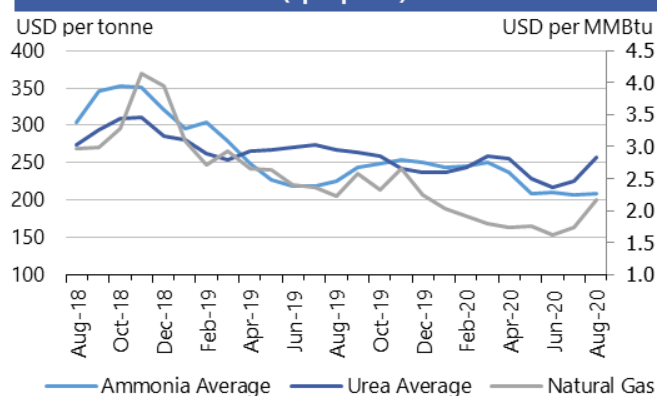
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



Note: Natural gas is used as major input to produce nitrogen-based fertilizers.
Own elaboration based on Bloomberg.

- After their downward trend since October 2019, **natural gas prices** recovered and increased by over 25 percent between July and August, driven by increased cooling needs due to higher than expected temperatures in the northern hemisphere.
- Higher natural gas prices combined with strong demand from India's summer season and the start of the southern hemisphere planting season has reversed previous downward trends for most fertilizer prices.
- **Urea** prices have shown an important increase due to a combination of higher input prices, growing demand from Brazil and India's summer crops, and a lower supply from China.
- Large inventories are keeping **ammonia** prices flat.
- The positive trend on **DAP** prices continues to soar, especially in the US Gulf, amidst supply disruptions in North Africa.
- **Potash prices**, in contrast, continued to slowly decline both in the US Gulf and Baltic due to large supplies, even as efforts to curtail production were put in place.

	August average	August std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	186.0	-	-	-10.1%	250.0	186.0
Ammonia-Western Europe	225.0	-	-	-15.4%	285.0	225.0
Urea-US Gulf	247.3	7.0	17.6%	-3.5%	272.8	199.5
Urea-Black Sea	248.0	15.6	14.8%	-6.4%	248.0	203.0
DAP-US Gulf	345.0	17.3	11.8%	17.0%	345.0	241.0
DAP-Baltic	315.0	-	2.9%	-8.4%	339.0	291.0
Potash-Baltic	192.7	1.2	-0.7%	-23.5%	252.0	193.0
Potash- US Gulf NOLA	192.7	2.5	-0.7%	-22.6%	248.0	193.0
Ammonia	209.0	4.3	1.2%	-7.5%	254.0	206.5
Urea	257.7	6.1	14.2%	-3.8%	264.4	217.0
Natural Gas	2.2	0.1	25.1%	-2.4%	2.7	1.6

All prices shown are in US dollars.

Source: Own elaboration based on Bloomberg



Chart and tables description * Estimated using available weekly data to date.

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

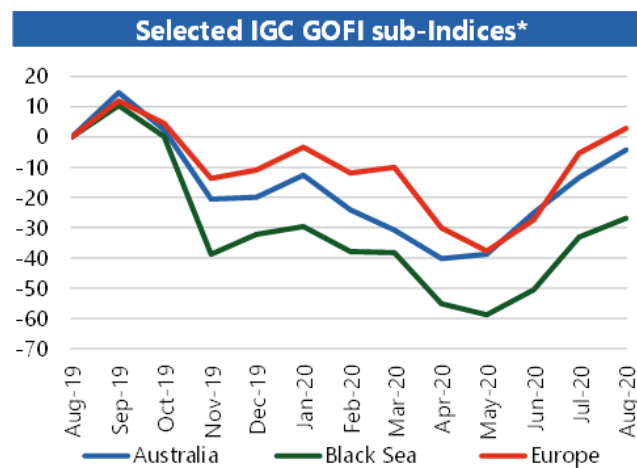
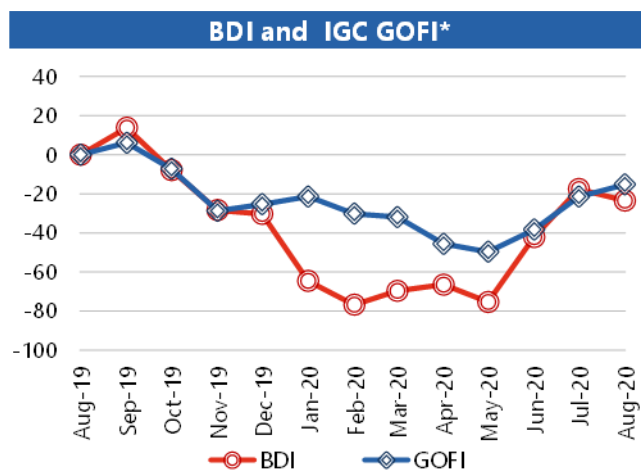
	August-20 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	1517.1	-7.1%	-23.5%
<i>sub-Indices:</i>			
Capesize	2341.4	-22.6%	-36.3%
Panamax	1626.3	+17.9%	-20.2%
Supramax	913.1	+8.1%	-17.1%
Baltic Handysize Index (BHSI)**	506.8	+13.5%	-10.6%

Sources: Baltic Exchange, IGC.

*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	August-20 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	123.0	+7.9%	-15.3%
<i>sub-Indices:</i>			
Argentina	151.6	+5.3%	-2.5%
Australia	78.5	+10.6%	-4.3%
Brazil	165.0	+7.8%	-15.1%
Black Sea	126.1	+9.4%	-26.8%
Canada	101.6	+8.6%	-15.5%
Europe	102.2	+8.7%	+2.9%
US	102.0	+8.1%	-14.4%



*percentage change based on monthly average values

- The dry bulk freight complex exhibited a steadier tone during August compared to preceding summer months, highlighted by a moderate 7 percent m/m drop in average **Baltic Dry Index (BDI)** values. Declines were linked to weakness in the **Capesize** sector, while activity in the grains and oilseeds carrying segments remained buoyant, supported by accelerating shipments from some origins and a pick-up in US maize/soybean sales to China.
- The **Capesize** market lacked a clear direction in recent weeks, with sentiment shaped by variable demand for iron ore shipments. In choppy trade, average earnings receded by 23 percent m/m, with recent pressure stemming from lacklustre fixing and tonnage oversupply in the Atlantic.
- Earnings in the **Panamax** segment averaged 18 percent higher m/m. Increased vessel availability in Europe weighed on values in late-July. However, an upturn in grains and oilseeds business out of South America and the US Gulf underpinned more recently, lifting the

corresponding Baltic sub-Index to a near ten-month high by mid-August. Still, the market turned lower thereafter as enquiry levels in the Atlantic subsided.

- Early declines in **Supramax** values were partly linked to deteriorating sentiment in the Atlantic and spillover weakness from other markets. A subsequent reversal was tied to robust grains inquiries in the Black Sea region, notably for deliveries to North Africa and Asia.
- Handysize** values mostly trended higher throughout the month, with the corresponding Baltic Index up by 14 percent. Good demand was noted in both Basins, including for dispatches from Europe and Up-River ports in Argentina.
- Robust timecharter rates, coupled with rising bunker costs, contributed to an 8 percent monthly increase in the IGC **Grains and Oilseeds Freight Index (GOFI)**, with values recently touching their highest since late October 2019.

Source: International Grains Council

Baltic Dry Index (BDI): A benchmark indicator issued daily by the Baltic Exchange, providing assessed costs of moving raw materials on ocean going vessels. Comprises sub-Indices for three segments: Capesize, Panamax and Supramax. The Baltic Handysize Index excluded from the BDI from 1 March 2018.

IGC Grains and Oilseeds Freight Index (GOFI): A trade-weighted composite measure of ocean freight costs for grains and oilseeds, issued daily by the International Grains Council. Includes sub-Indices for seven main origins (Argentina, Australia, Brazil, Black Sea, Canada, the EU and the USA). Constructed based on nominal HSS (heavy grains, soybeans, sorghum) voyage rates on selected major routes.

Capesize: Vessels with deadweight tonnage (DWT) above 80,000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Carriers with capacity of 60,000-80,000 DWT, mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Ships with capacity below 60,000 DWT, accounting for the majority of the world's ocean-going vessels and able to transport a wide variety of cargos, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

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